

My stop hit, just as I expected even though price closed higher. I tightened the stop because of the big 5+% decline yesterday for unexplained reasons (the market was also down big). Looks like I sold at the low for the day. I wanted to protect my profits.”



Figure 55.5 Sometimes it can be difficult to find the left rim of a rounded turn. The left rim can help determine where the right rim might appear.

On the three trades, I made 31%, 23%, and 15%.

I was fortunate enough to sell when I did because the 2007 to 2009 bear market took the stock down to 68 cents, well below the sale price of \$11.

- Lesson: If a stock has multiple left rims, consider trading the lowest pair (left and right rims).

Encore Wire

Encore Wire (WIRE) was an unusual trade. The stock dropped in 2007 and bottomed in 2008, forming a nice rounded turn. I bought near the bottom just after the stock started moving up (which is a setup I've used several times).

The turn was a fakeout that sometimes happens near the middle of the rounding turn. The stock retraced the move, it bottomed again, and then